

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-16

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

COSCO SHIPPING LINES CO., LTD.

Respondent and Third-Party Complainant,

v.

SAMSUNG ELECTRONICS COMPANY, LTD., SAMSUNG SDS GLOBAL SCL ASIA
PACIFIC PTE LTD, AND SAMSUNG ELECTRONICS LOGITECH COMPANY, LIMITED

Third-Party Respondents.

**THIRD-PARTY RESPONDENT SAMSUNG ELECTRONICS LOGITECH CO., LTD.
S/H/A SAMSUNG ELECTRONICS LOGITECH COMPANY, LTD.'S MOTION TO
DISMISS THIRD-PARTY COMPLAINT**

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PRELIMINARY STATEMENT

Third-Party Respondent Samsung Electronics Logitech Co., Ltd. sued here as Samsung Electronics Logitech Company, Ltd., (“Logitech”), by its undersigned attorneys, respectfully submits this Motion to Dismiss the Third-Party Complaint filed by COSCO Shipping Lines Co., Ltd. (“COSCO” or “Third-Party Complainant”) for failure to state a claim upon which relief can be granted.

INTRODUCTION

On March 22, 2024, Samsung Electronics America, Inc. (“SEA”) filed a Verified Complaint (Doc. No. 01) against COSCO asserting that COSCO, as an ocean common carrier subject to the Commission’s jurisdiction, had engaged in a pattern of conduct in violation of the Shipping Act of 1984, 46 U.S.C. § 40101, *et seq.* (the “Shipping Act”). COSCO filed a Motion to Dismiss the Complaint (Doc. No. 16) on May 9, 2024, which was denied in part and granted in part on April 11, 2025. (Doc. No. 25). Pursuant to this tribunal’s April 11, 2025, ruling, SEA filed its Verified Amended Complaint on April 25, 2025 (Doc. No. 26). On May 12, 2025, Respondent filed its Verified Answer to the Amended Complaint which included a Counterclaim against SEA, alleging violations of 46 U.S.C. § 41102(a) (Doc. No. 30) (“Counterclaim”).¹ Also on May 12, 2025, COSCO filed its Third-Party Complaint (Doc. No. 31) (“TPC”) against Logitech, Samsung Electronics Co., Ltd. s/h/a Samsung Electronics Company, Ltd. (“SEC”) and Samsung SDS Asia Pacific Ptd Ltd, sued here as Samsung SDS Global SCL Asia Pacific PTE Ltd. (“SDS”)² (collectively “Third-Party

¹ The Presiding Officer may note the numerous references to the Counterclaim in this motion. The reason is simple: the allegations in the Counterclaim are closely linked to the allegations in the Third-Party Complaint. Thus, in order to fully understand the infirmities of the Third-Party Complaint, reference to the Counterclaim is necessary.

² Having been served in the Republic of Singapore by the Singaporean Central Authority, on August 4, 2025, SDS filed its Motion to Dismiss the Third-Party Complaint (Doc. 58). SEC has been served in the Republic of Korea by the Korean Central Authority and filed its Motion to Dismiss the Third-Party Complaint (Doc. 65) on August 11, 2025.

Respondents” or “Samsung Respondents”). The Third-Party Complaint was transmitted by the Korean Central Authority and was received by Logitech in the Republic of Korea on October 22, 2025, generally in accordance with the provisions of the Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil and Commercial Matters, November 15, 1965, 20 U.S.T. 361, T.I.A.S. No. 6638 (the “Hague Convention”)(although no affidavit of service, in accordance with 46 C.F.R. § 502.113(c), has been filed as of this date).

46 U.S.C. § 41102(a), titled “Obtaining Transportation at Less Than Applicable Rates,” provides that:

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

COSCO’s third-party complaint alleging a violation of the statute *by Logitech*, exclusively relies on (1) the alleged “concealment” by “Third-Party Respondents” of their disagreement with the terms of COSCO’s detention, demurrage and other charges arising under certain service contracts at the time those contracts were allegedly negotiated and signed (TPC ¶ 65(b)); and, (2) (by way of the allegations in the Counterclaim) that SEA subsequently served a pre-litigation demand and filed a complaint with the Commission against COSCO (Counterclaim ¶ 71). In so doing, COSCO claims that Logitech has violated, *inter alia*, 46 U.S.C. § 41102(a) by “inducing COSCO to enter into Service Contracts on the rates, terms, and conditions set forth therein, and to provide services thereunder, concealing their disagreement with the clear terms of the Service Contracts....Through such knowing and willful conduct, Third-Party Respondents used this unjust and unfair device or means to obtain attempt to obtain ocean transportation at less than applicable rates and terms.” (TPC ¶¶ 65-66).

But COSCO has failed to plead sufficient factual allegations to support its third-party complaint against Logitech with respect to all the elements that constitute a valid § 41102(a) claim. Indeed, the third-party complaint mentions Logitech specifically *only* as a signatory to one set of the alleged service contracts (TPC ¶¶ 14,15). Aside from this, the third-party complaint does not plausibly allege any *facts* – merely illusory speculations and conclusory statements – that Logitech attempted, either successfully or otherwise, to obtain ocean transportation at less than agreed rates, or that any such attempts were by any cognizably false, unjust, or unfair means, or that any such attempts were conducted knowingly and/or willfully, directly or indirectly. In short, COSCO has utterly failed to state a claim upon which relief can be granted, and the third-party complaint against Logitech should be dismissed with prejudice.

The futility of COSCO's § 41102(a) third-party complaint against Logitech is inescapable as a matter of law. The same flawed legal theory has already been rejected in two other cases – *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, FMC Dkt. No. 24-17 (Doc. No. 38)(ALJ Mar. 31, 2025), *aff'd in part and remanded*, (Doc. No. 66)(FMC Jul. 30, 2025) and *Samsung Electronics America, Inc. v. SM Line Corp.*, FMC Dkt. No. 23-01 (Doc. No. 59)(ALJ Jan. 31, 2024). In both matters, the Presiding Officer (and in the OOCL matter, the Commission) dismissed as a matter of law nearly identical Section 41102(a) claims as asserted here by COSCO. COSCO's third-party complaint against Logitech should suffer the same fate.

BACKGROUND

I. Factual Allegations

As alleged by COSCO, the sequence of events in this matter is straightforward. SEC and COSCO allegedly negotiated and entered into service contracts in 2021 and 2022 (TPC ¶¶ 9–11) which were then allegedly signed by SDS and Logitech (TPC ¶¶ 13–19).

Under the terms of the alleged service contracts, goods were to be shipped at specified rates from various ports in Asia to various ports in North America where the goods were to be consigned to SEA (TPC ¶¶ 20-21). Subsequently, certain charges incurred in the United States for demurrage, detention and other costs were assessed by COSCO and paid by SEA albeit SEA declined to pay certain invoices (Counterclaim ¶¶ 40, 42-43, 75; TPC ¶ 49-53). Beginning in 2022, SEA complained to COSCO of overcharges (Counterclaim ¶ 42). Communications were exchanged back and forth between COSCO and SEA to no avail (Counterclaim ¶¶ 42-48, 50-51) and in 2024 SEA filed the action herein against COSCO. In response, COSCO filed its Counterclaim against SEA and the Third-Party Complaint against Logitech, SEC, and SDS.³

II. Conclusory and Absent Allegations

COSCO's allegation that Logitech is liable for a violation of 46 U.S.C. § 41102(a) rests entirely on the unsubstantiated allegation that Logitech, along with SEA, SEC and SDS, at the time of the negotiation of the alleged service contracts, privately disagreed with the terms of those contracts and associated other documents addressing the charges later disputed (or not paid) by SEA and concealed that disagreement from COSCO (TPC ¶¶ 46, 48). Further, Logitech (and SEA,

³ For the purposes of this Motion to Dismiss, Logitech acknowledges that the Presiding Officer must accept COSCO's factual allegations as true. *See Maher Terminals, LLC v. the Port Authority of New York and New Jersey*, FMC Dkt. No. 12-02, 2015 WL 9426189, *12 (FMC Dec. 18, 2015)(in the context of a Fed. R. Civ. P. 12(b)(6) motion, "[T]he Commission must accept as true all factual allegations and construe them in the light most favorable to the complainant."). That said, if this matter proceeds, Logitech intends to vigorously contest the validity of COSCO's allegations.

SEC and SDS) refused to pay charges in some cases and demanded refunds in others (TPC ¶¶ 53,59) Logitech (and SEA, SEC and SDS) thus acted in “bad faith” (TPC ¶¶ 55–56). COSCO further alleges that had it known of this “concealed disagreement,” it would not have offered the rates set out in the alleged service contracts (TPC ¶ 48).

But there is no allegation that Logitech was involved in the negotiations in the first place. There are no factual allegations regarding Logitech’s state of mind at all or, indeed, regarding the state of mind of any of the Third-Party Respondents. Nor are there any factual allegations regarding the “concealed disagreement” of Logitech (or, indeed, SEA, SEC or SDS) with the terms of the alleged service contracts at the time of negotiation or execution or thereafter.

In short, there is nothing in the Third-Party Complaint – certainly nothing detailed and informative enough - to state an actionable or legitimate claim against Logitech for a violation of 46 U.S.C. § 41102(a).

LEGAL STANDARDS

I. It is Proper for Logitech to Assert a Fed. R. Civ. P. 12(b)(6) Motion in this Proceeding

The Commission’s Rules of Practice and Procedure (“Rules”) do not explicitly address a motion to dismiss (other than for failure to prosecute or to follow the Commission’s rules or orders: 46 C.F.R. § 502.72). Rule 12 (46 C.F.R. § 502.12), however, states that in instances where there is no FMC Rule, then the Federal Rules of Civil Procedure will apply, so long as they are consistent with sound administrative practice. The “Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim.” *MAVL Capital v. Marine Transport Logistics*, Docket No. 16-16, 2020 WL 1312925, *4 (FMC Oct. 29, 2020).

Given the deficiencies of COSCO's third-party complaint against Logitech, Logitech's invocation of Fed. R. Civ. P. 12(b)(6) is proper.

II. Standards of Review and Pleading: General

There is a considerable body of FMC decisions addressing the application of Fed. R. Civ. P. 12(b)(6) in the context of proceedings before the FMC.

“In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it.” *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt. No. 13-02, 2014 WL 5316340, *6 (FMC Aug. 28, 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, FMC Dkt. No. 09-01, 2011 WL 7144008, *11 (FMC Aug. 1, 2011)); *see also MAVL Capital*, 2020 WL 6445041 at *4 (the Commission looks to Fed. R. Civ. P. 12(b)(6) when considering dismissals for failure to state a claim). The Commission ruled in *Mitsui* that:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to ‘state a claim to relief that is plausible on its face.’ *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). . . . The complaint must be sufficient to ‘give the defendant fair notice of what the ... claim is and the grounds upon which it rests.’ *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); *see also* 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) (‘[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.’).

Mitsui, 2011 WL 7144008 at *12. Thus, a “pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555).

To satisfy the plausibility standard, the plaintiff must show “more than a sheer possibility that the defendant acted unlawfully.” *Iqbal*, 556 U.S. at 678. “Furthermore, while the court must accept well-pleaded facts as true, ‘it will not strain to find inferences favorable to the plaintiff.’”

Taha v. William Marsh Rice University, Civil Action No. 11-2060, 2012 WL 1576099, *2 (S.D. Tex. May 3, 2012)(quoting *Southland Sec. Corp v. Inspire Ins. Solutions, Inc.* 365 F.3d 353, 361 (5th Cir. 2004)(quoting *Westfall v. Miller*, 77 F.3d 868, 870 (5th Cir. 1996)). On a motion to dismiss, courts “are not bound to accept as true a legal conclusion couched as a factual allegation.” *Papasan v. Allain*, 478 U.S. 265, 286 (1986). “Rather the inquiry is whether the allegations in the *Complaint* plausibly state a claim for relief.” *Hicks v. Department of Public Safety and Corrections*, 595 F. Supp 3d 463, 470 (M.D. La. 2022), *aff’d in part and dismissed in part on other grounds*, 81 F.4th 497 (5th Cir. 2023)(emphasis in original). *See also Maher Terminals*, 2015 WL 9426189 at *12 (The plausibility standard does not require the acceptance of legal conclusions as true or the drawing of inferences unsupported by the allegations.)

COSCO’s allegations against Logitech of a “concealed disagreement” and “bad faith” is a paradigmatic example of a “legal conclusion couched as a factual allegation.” Moreover, consistent with the precedent, the Presiding Officer need not accept COSCO’s legal conclusions as true nor need the Presiding Officer draw any adverse inference against Logitech as such inferences are completely unsupported by proper allegations.

III. Standards of Review and Pleading: Fed. R. Civ. P. 9(b)

COSCO has alleged more than a mere violation of the statute; it has alleged falsehoods, bad faith and concealment on the part of Logitech, SEC and SDS. (TPC ¶ 59). Logitech respectfully submits that such allegations amount to allegations of fraud, and that therefore, heightened pleading requirements should apply to *any* claim alleging such conduct, including in the case of a claim alleging unjust or unfair devices under 46 U.S.C. § 41102(a).

While Rule 62(a)(3)(iii)(46 C.F.R. § 502.62) of the Commission’s Rules is similar to Fed. R. Civ. P. 8’s requirement for a “short and plain statement of the claim showing the pleader is

entitled to relief,” the Commission has no specific rule regarding allegations of fraud or mistake. Accordingly, pursuant to Rule 12 of the Commission’s Rules, on a motion to dismiss a pleading, the Presiding Officer should refer to Fed. R. Civ. P. 9(b), which establishes a heightened pleading standard for claims involving fraud. 46 C.F.R. § 502.12 (“for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure *will* be followed to the extent that they are consistent with sound administrative practice.”)(emphasis added).

Logitech is mindful of a decision recently issued by the Commission which affirmed an ALJ’s dismissal of a § 41102(a) counterclaim lodged against SEA, *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, FMC Dkt. No. 24-17 (Doc. No. 38)(ALJ Mar. 31, 2025), *aff’d in part and remanded*, (Doc. No. 66)(FMC Jul. 30, 2025).

In *OOCL*, the Commission stated that “Because the ALJ did not decide the issue of whether the more demanding pleading standard should apply to section 41102(a) allegations, the Commission need not reach that issue *at this time*.” (Doc. No. 66 at 13 n.1)(emphasis added).

In that same footnote, the Commission addressed *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, FMC Dkt. No. 09-01, 2011 WL 7144008 (FMC Aug. 1, 2011) and OOCL’s arguments concerning same by stating, “OOCL argues that the Commission has repeatedly declined to apply such a standard, and that the majority in the Mitsui case *effectively rejected* it.” *Id.* (emphasis added). The Commission goes on to observe that “SEA does not dispute that “the *Mitsui* majority rejected the argument that a higher standard should apply.” *Id.* However, upon closer examination of *Mitsui*, OOCL’s argument that the majority opinion in Mitsui “effectively rejected” the heightened pleading standard is not correct - the majority opinion did not address the heightened standard at all, let alone reject it, effectively or otherwise.

To understand *Mitsui*, reference must be made to the underlying opinion of the ALJ, *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, FMC Dkt. No. 09-01, 2010 WL 11914641 (ALJ Jun. 22, 2010). The ALJ cited a 1993 Commission proposal that proposed that violations of the statute be alleged “with particularity,” however, the proposal was not adopted. As such, the ALJ declined to impose the requirements of Fed. R. Civ. P. 9(b) on the complainant. 2010 WL 11914641 at *19. On appeal of this decision, the majority did not discuss or address this aspect of the ALJ’s finding at all. Moreover, it is not clear if the precise issue was in fact placed before the Commission in the appeal. As noted in Commissioner Khouri’s concurrence in part and dissent in part: “Further, though not before the Commission by standard procedural rule at the time, there are several important issues raised by the ALJ’s June 22, 2010, Memorandum and Order...which I believe should be addressed and either modified or corrected. Therefore, I have added a discussion of these matters to this concurrence and dissent.” 2011 WL 7144008 at *33.

Concerning the application of Fed. R. Civ. P. 9(b) to FMC proceedings, Commissioner Khouri stated:

Going beyond the correct formulation of FRCP 8(a) pleading standards as discussed above, I further find that where Section 10(a)(1) [46 U.S.C. § 41102(a)] requires a showing of “fraud or concealment”, as expressly required by *Rose International, Inc. v. Overseas Moving Network International, Ltd., et al*, 29 S.R.R. 119 (FMC, 2001), such matter must be plead with sufficient particularity in conformity with FRCP 9(b). *Id.* at 163. [I] find this to be a matter of fundamental fairness and due process.

....

Further, the Commission’s own regulation in 46 CFR Section 545.2 provides that bad faith or deceit is required in a Section 10(a)(1) case. In addition to the reasons discussed in previous sections, I find that the Commission must apply FRCP 9(b), which provides the standards alleging fraud or a mistake and further states that a party must plead ‘with particularity’ the circumstances which would constitute the fraud or mistake. Fed. R. Civ. P. 9(b).

Id. at *38 and *42 (footnote in the latter quote omitted; emphasis added).

It has been over thirty years since the Commission declined to adopt the amendment to Rule 62 in 1993. Given the silence of the majority of Commissioners in *Mitsui* and in view of Commissioner Khouri's considered and articulate statements, Logitech submits that now is the time for this issue to be reached.

Federal courts have treated Fed. R. Civ. P. 12(b)(6) as inherently tied to the federal pleading rules, and as such, Fed. R. Civ. P. 12(b)(6) should be read in conjunction with Fed. R. Civ. P. 9(b). *See, e.g., Li v. Kerry*, 710 F.3d 995, 998 (9th Cir. 2013) (court noting that Fed. R. Civ. P. 12(b)(6) is read "in conjunction with" the pleading rules); *Griggs v. Ameriquest Mortg. Co.*, No. 1:06-CV-3147, 2007 WL 9703155, *2 (N.D. Ga. Apr. 25, 2007), *report and recommendation adopted*, 2007 WL 9703156 (N.D. Ga. May 24, 2007) ("the legal sufficiency of a complaint under FRCP 12(b)(6) is determined by whether the complaint states a claim upon which relief can be granted in light of the pleading requirements of Rules 8 and 9..."). As such Fed. R. Civ. P. 9(b)'s heightened pleading requirements are part and parcel of the Fed. R. Civ. P. 12(b)(6) analysis.

Fed. R. Civ. P. 9(b) provides that "[i]n alleging fraud or mistake, a party must state with particularity the circumstances constituting fraud or mistake." The purpose of requiring particularity with respect to claims of fraud or mistake is (1) to provide the defendant with fair notice of the plaintiff's claim, (2) to safeguard a defendant's reputation from improvident charges of wrongdoing, and (3) to protect a defendant against the institution of a strike suit. *Wood ex rel. United States v. Applied Research Assocs., Inc.*, 328 Fed. Appx. 744, 747 (2d Cir. 2009). Thus, claims involving such allegations must meet an "elevated pleading standard." *Iqbal*, 556 U.S. at 686–87.

Moreover, Fed. R. Civ. P. 9(b)'s application is "not limited to allegations styled or

denominated as fraud or expressed in terms of the constituent elements of a fraud cause of action,” but applies so long as the claims themselves are premised on allegations of fraud, or “sound in fraud.” *Rombach v. Chang*, 355 F.3d 164, 171 (2nd Cir. 2004); *see also Vess v. Ciba-Geigy Corp. USA*, 317 F.3d 1097, 1103 (9th Cir. 2003); *Lone Star Ladies Inv. Club v. Schlotsky’s Inc.*, 238 F.3d 363, 368-9 (5th Cir. 2001) (“Rule 9(b) applies by its plain language to all averments of fraud, whether they are part of a claim of fraud or not.”); *SEC v. Binance Holdings Ltd.*, 738 F. Supp.3d 20, 37 (D.D.C. 2024) (court noting that “[t]he majority of circuits” apply Fed. R. Civ. P. 9(b) where a claim “sounds in fraud”); *MSP Recovery Claims, Series LLC v. Pfizer, Inc.*, No. 22-cv-01419(DLF), 2025 WL 689180, *3 (D.D.C. Mar. 4, 2025), *appeal pending*, No. 25-7045 (D.C. Cir., filed April 8, 2025)(“[T]he Court is persuaded by the analysis of numerous circuit and district courts that have held that a plaintiff must state with particularity the circumstances of the fraud when fraudulent actions form the basis of a claim.”).

This elevated pleading standard means that claims that include an element of fraud are subject to more stringent review on motions to dismiss. To satisfy Rule 9(b), “the plaintiff must allege (1) ‘the time, place, and content of the alleged misrepresentation,’ (2) ‘the fraudulent scheme,’ (3) the defendant’s fraudulent intent, and (4) the resulting injury.” *Smith v. Gen. Motors LLC*, 988 F.3d 873, 883 (6th Cir. 2021) (quoting *Wall v. Michigan Rental*, 852 F.3d 492, 496 (6th Cir. 2017)); *see also Cooper v. Pickett*, 137 F.3d 616, 627 (9th Cir. 1997) (requiring a plaintiff making a fraud claim to allege the “who, what, where, when, and how” of the alleged misconduct). “Bare-bones allegations” therefore do not suffice. *Lundy v. Cath. Health Sys. of Long Island Inc.*, 711 F.3d 106, 119 (2d Cir. 2013).

COSCO makes no factual allegations regarding fraud on the part of Logitech, just conclusory statements that Logitech – along with SEC and SDS – privately disagreed with the

terms of the alleged service contracts; concealed their disagreement with those terms, and thus obtained rates they were not entitled to; and followed that up by acting in bad faith and with false excuses in refusing to pay COSCO. But there are no facts to support any of these allegations. COSCO's "bare-bones" allegations against Logitech completely fail to meet the requirements of Rule 9(b).

And in fact, as will be discussed further, below, the Third-Party Complaint fails to meet even the Commission's general pleading standard under the Commission's Rule 62(a)(3)(iii)(46 C.F.R. § 502.62), as its allegations do not inform Logitech with reasonable definiteness of the acts or practices alleged to be in violation of § 41102(a).

ARGUMENT

I. A Claim for Breach of Contract does not Establish an Intent Not to Perform the Contract

At its base, the Counterclaim against SEA as well as the Third-Party Complaint against Logitech, SEC and SDS, asserts a breach of the terms of the alleged service contracts by way of SEA's demand for refunds and refusal to pay other COSCO invoices: an alleged breach of contract for which COSCO seeks to hold Logitech (as well as SEA, SEC and SDS) responsible and the basis on which to construct its retroactive theory of an alleged violation of the Shipping Act.

Essentially, COSCO argues that the breach of the alleged service contracts can only be explained by the "concealed disagreement" of Logitech (as well as SEA, SEC and SDS) with the terms of the alleged service contracts at the time of negotiation and execution, and that by way of the "concealed disagreement," Logitech (and the others) "induced" COSCO to enter the alleged service agreements (TPC ¶ 65).

COSCO's theory of the case has no merit.

It is well established that a breach of contract claim, standing alone, is insufficient to allege

an intent to breach the contract *ab initio*. See, e.g., *UMG Recordings, Inc. v. Global Eagle Entertainment, Inc.*, 117 F. Supp. 3d 1092, 1108 (C.D. Calif. 2015)(“In the context of this type of promissory fraud claim, alleging why the promise was false when made requires pleading facts from which it can be inferred that the promisor had no intention of performing at the time the promise was made. Mere nonperformance of a promise does not suffice to show the falsity of the promise.”)(citation omitted); *Sizer v. New England Life Ins. Co.*, 871 F. Supp. 2d 1071, 1079 (D. Oreg. 2012)(“To establish a defendant’s fraudulent intent regarding a promise to act in the future, a plaintiff must do more than show the eventual breach of that promise.”)(citation omitted); *Hotel Constr., Inc. v. Seagrave Corp.*, 574 F. Supp. 384, 388 (S.D.N.Y. 1983)(“A purely conclusory allegation that defendants never intended to perform, standing alone, could not convert a claim for breach of contract into one for fraudulent inducement to contract...”)(citations omitted); *Stanat Mfg. Co. v. Imperial Metal Finishing Co., Inc.*, 325 F. Supp. 794, 796 (S.D.N.Y. 1971)(“If a plaintiff could, merely by alleging that a contracting party never intended to fulfill his promise, create a tortious action in fraud, there would be no effective way of preventing almost every contract case from being converted to a tort for jurisdictional purposes.”)(citations omitted).

As set forth in a leading treatise:

When a promise is made in good faith, with the expectation of carrying it out, the fact that it subsequently is broken gives rise to no cause of action, either for deceit, or equitable relief. Otherwise any breach of contract would call for such a remedy. The mere breach of a promise is never enough in itself to establish the fraudulent intent. It may, however, be inferred from the circumstances, such as the defendant’s insolvency or other reason to know that he cannot pay, or his repudiation of the promise soon after it is made, with no intervening change in the situation, or his failure even to attempt any performance, or his continued assurances after it is clear that he will not do so.

W. Prosser, *The Law of Torts* § 109, at 730–31 (4th ed.1971)(quoted in *Asbury Square, L.L.C. v. Amoco Oil Co.*, 221 F.R.D. 497, 502 (S.D. Iowa 2004)).

In this matter, COSCO alleges that the service contracts were negotiated and executed.

Under those contracts, thousands of containers were shipped from the Far East to the United States, all consigned to SEA.⁴ During the course of performance, disputes as to certain charges arose between COSCO and SEA ultimately leading to SEA’s filing of its complaint against COSCO. Nothing in the course of these proceedings supports an inference that Logitech had “concealed” its “disagreement” with the terms of the service contracts nor has COSCO alleged anything to support its § 41102(a) claim against Logitech other than its assertion of the breach of the terms of the alleged service contracts. On this basis alone, the Presiding Officer should dismiss the third-party complaint against Logitech.

II. COSCO Does Not Allege Knowing and Willful Conduct by Logitech

Section 41102(a)’s first element—knowing and willful conduct—is established if the party had knowledge of the facts of the violation and acted either intentionally or with reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence. “Conduct is knowing and willful if it was carried out ‘purposely or obstinately’, or with ‘gross recklessness, heedlessness, or a callous disregard’ for the consequences *or* ‘plain indifference to the law’s requirements.’” *Rana v. Michelle Franklin, d.b.a. “The Right Move,”* 5 F.M.C.2d 7, 19-20, 2022 WL 1744905, *8 (FMC May 25, 2022)(emphasis in original)(quoting *Brokerage on Shipments of Ocean Freight—Max LePack, (Max LePack)*, 5 F.M.B. 435, 444 (FMB 1958)).

The allegation that Logitech’s conduct in this matter was “knowing and willful” (TPC ¶ 54), amount to nothing more of a litany of assertions related to SEA’s questioning and protests of certain charges as well as declining to pay other charges (TPC ¶¶ 49-53). These allegations hardly adds up to ***actually pleading*** that Logitech knowingly and willfully obtained or attempted to obtain

⁴ Although there is no allegation in the Third-Party Complaint concerning the subject of freight payments, given the volume of containers evidently carried by COSCO, it only seems logical to assume that substantial freight payments were made to COSCO.

ocean transportation from COSCO at less than the applicable rates, which COSCO must plead (and properly support in its allegations) in order to state a claim for violation of § 41102(a).

III. COSCO Does Not Adequately Allege False or Fraudulent Conduct by Logitech

A § 41102(a) claim requires factual allegations that the subject party used false billing, classification, measurements or report thereof, or any other unjust or unfair device or means to obtain ocean transportation at less than otherwise applicable rates. *Rana*, 5 F.M.C.2d at 20 (citations omitted). COSCO's third-party complaint contains no allegation of false billing, false classification, or false measurement or reporting of cargo by Logitech. Instead, COSCO merely makes the conclusory allegation that Logitech employed an "unjust or unfair device or means." (TPC ¶ 66.)

Under the Commission's regulatory interpretation of "unjust or unfair device or means" in connection with § 41102(a), to make a sufficient allegation of "unjust or unfair device or means," a complainant must provide factual allegations establishing some element of fraud, concealment, or deceit. *Rana*, 5 F.M.C.2d at 20-21, 2022 WL 1744905 at *8 (to establish a violation of section 41102(a), "fraud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means.") (quoting *United States v. Open Bulk Containers*, 727 F.2d 1061, 1064 (11th Cir. 1984)); see also *SeaFair USA LLC v. Sterling Container Line Ltd.*, FMC Dkt. No. 22-34, 2024 WL 1741926, *10 (ALJ Apr. 15, 2024) (same) and 46 C.F.R. § 545.2 (Commission's regulatory guidance requiring "evidence of bad faith or deceit" for the Commission to infer an "unjust or unfair device").

Because COSCO's § 41102(a) claim requires an element of fraud or concealment, COSCO's third-party complaint against Logitech is subject to Fed. R. Civ. R. 9(b)'s heightened pleading standard regarding the circumstances of the alleged fraud or concealment, as discussed

in detail above.

COSCO's allegations of concealment amount to a claim that (1) Logitech, along with SEC and SDS, concealed its disagreement with the terms of the alleged service contracts in order to induce COSCO into offering lower rates than it otherwise would have offered, (¶¶ TPC 65, 66) and (2) that Logitech (and SEC and SDS acting in in concert with SEA) then refused to pay and/or demanded refund of charges for which they were responsible (*Id.*). COSCO, however, provides no details to support its assertion that Logitech disagreed with the terms of the alleged contract at the time the contract was signed.

What COSCO does allege is that SEA, in its Demand Letter of September 23, 2022, disagreed with detention and demurrage charges (Counterclaim ¶42). COSCO does not allege *how* this was “unjust, unfair,” or otherwise an unlawful attempt to obtain ocean transportation at lower than standard rates nor does COSCO ever explain how this allegation relates to Logitech. COSCO's allegation does not reveal or illuminate any “evidence of bad faith or deceit” as required for the Commission to infer an “unjust, unfair device” as outlined in the Commission's regulatory guidance for § 41102(a). *See* 46 C.F.R. § 545.2. Disagreement about charges certainly does not support a claim for concealment. Perforce, a signatory to a service contract can disagree with demurrage and detention charges, believing that an ocean carrier such as COSCO was at fault. As COSCO itself acknowledges, it is responsible for demurrage and detention charges where it is at fault (TPC ¶ 45). Similarly, “under the Service Contracts...Samsung [defined as SEC, SDS and Logitech] and SEA were responsible for detention and demurrage charges, ***unless the delays resulted directly from fault by COSCO.***”(Counterclaim ¶ 36)(emphasis added). Mere disagreement with such charges cannot possibly support COSCO's claim that Logitech (or SEA, SEC or SDS) secretly disagreed with the terms of the service contracts at the time of the execution

of the contracts, let alone COSCO's further claim of concealment of that disagreement or that such concealed disagreement amounted to bad faith or fraud.

COSCO's allegations of "concealment" are further undermined by the fact that COSCO also alleges that, while SEA apparently paid the vast majority of detention and demurrage charges, it nevertheless *refused to pay \$4 million in detention and demurrage charges*, prior to the issuance of its Demand letter. (Counterclaim ¶¶ 40, 43, 75; TPC ¶ 70). COSCO's awareness of unpaid detention and demurrage charges contradicts its pleading that Logitech (as well as SEC and SDS) had "concealed" their disagreement. Given these contradictions, COSCO's pleading of concealment need not be assumed as true for the purpose of evaluating the motion to dismiss. *L- & Designs, Inc. v. Old Navy, LLC*, 647 F.3d 419, 422 (2d Cir. 2011) (court noting that assumption of truth is not granted pleadings where they are contradicted by more specific allegations in the complaint).

Finally, COSCO's concealment allegations are undermined by the fact that COSCO cannot show *how* SEA's and Third-Party Respondents' purported concealment was "a means" to obtaining ocean transportation at less than otherwise applicable rates. According to COSCO, SEA paid the vast majority of detention and demurrage charges that it was assessed. (Counterclaim ¶¶ 42, 75). As a result, neither SEA nor Third-Party Respondents have received the purported "benefit" of its concealment, and SEA can only now receive it through a proceeding before the Commission.

COSCO's "concealment" claim is flatly different in kind from the type of concealment highlighted in case law, such as a party's seeking payment under a false classification, and concealing the false classification, in order to secure a reduced rate. *See Hohenberg Bros. Co. v. FMC*, 316 F.2d 381 (D.C. Cir. 1963). In *Hohenberg*, the petitioner conspired with the carrier to pay an artificially low rate on the shipment of cotton bales and attempted to conceal the incorrect

rate from government inspectors and competitors who paid a higher rate. When government inspectors found the shipment and adjusted the shipping rates, the shipper again conspired with the carrier to undo the adjustment through a refund, which the shipper and carrier again attempted to conceal from government inspectors. In *Hohenberg*, the petitioner's concealment from government inspectors was obviously a means for the shipper to secure a reduced rate. In contrast to *Hohenberg*, SEA actively seeks to make its case publicly before the Commission to determine the correct allocation of detention and demurrage charges, a proceeding to which Logitech is not a party nor has asserted any claim.

In sum, when subjected to Fed. R. Civ. P. 9(b)'s heightened pleading requirements, including explaining why Logitech's actions are purportedly fraudulent, COSCO's pleadings collapse upon even modest scrutiny, and must be dismissed.

III. COSCO's Allegations Fail to Meet the Commission's General Pleading Standard

Even if the Presiding Officer declines to apply the heightened pleading standard required under Fed. R. Civ. P. 9(b), COSCO's third-party complaint still fails to meet even the Commission's general pleading standard under the Commission's Rule 62(a)(3)(iii)(46 C.F.R. § 502.62), as its allegations do not inform Logitech with reasonable definiteness of the acts or practices alleged to be in violation of § 41102(a).

The substance of COSCO's claim that Logitech engaged in some "unfair and unjust device" to obtain ocean transportation at rates lower than those that would typically apply is that Logitech, as an unspecified member of the "Third-Party Respondents": (1) prior to the execution, and during the duration, of the alleged service contracts, privately disagreed with COSCO over the terms of the service contracts relating to detention, demurrage and other charges; (2) in concert with SEA, demanded refunds of charges SEA contends were unlawfully imposed upon it, after COSCO had

fully performed under its contracts; and, (3) in concert with SEA, demanded that COSCO waive future charges that it views as unlawful but COSCO contends would be lawful (TPC ¶¶ 65-67). Closely related to these actions is COSCO's allegation of an "unfair and unjust device" directed at SEA based on its filing of a Verified Complaint with the Commission on March 22, 2024. (Counterclaim ¶ 71) -- SEA's actions being allegedly linked to the actions or omissions of Logitech (as well as SEC and SDS)(Counterclaim ¶¶ 36-41, 71-73). But at no point does COSCO allege how SEA's exercise of its legal right to seek reparations under the Shipping Act is "unjust, unfair," or otherwise an unlawful attempt to obtain ocean transportation at lower than standard rates or how SEA's exercise of its rights (as the consignee responsible for the payment of legitimate charges) somehow makes *Logitech* potentially liable under the Shipping Act. As noted earlier, COSCO's allegations only appear to have the initial whiff of plausibility because COSCO downplays the fact that SEA paid the detention and demurrage charges and so has not received the "benefit" of its purported concealment, which it can only get through the Commission's ruling in favor of SEA. As such, COSCO's allegation amounts to nothing more than a mere conclusory allegation of a key element of § 41102(a).

IV. Legal Proceedings Cannot Constitute Unfair or Unjust Devices

It is well-established at this point that the initiation of complaint proceedings before the Commission cannot, as a matter of law, constitute an unfair or unjust means of obtaining ocean transportation at less than the rates or charges that would otherwise apply under 46 C.F.R. § 502.62(b)(4).

While COSCO made no specific allegations in the third-party complaint related to the initiation of SEA's FMC proceeding against COSCO, still those proceedings are inextricably linked to the impetus for COSCO to assert its claims against Logitech (as well as SEC and SDS) as shown

by the extensive nature of the allegations involving SEA set out in the Third-Party Complaint as well as the wide scope of the allegations involving Logitech (and SEC and SDS) set out in the Counterclaim.

In *Samsung Electronics America, Inc. v. SM Line Corp.*, FMC Dkt. No. 23-01, *Order Denying Motion for Leave to File Third Party Complaint* (Doc. No. 59)(ALJ Jan. 31, 2024), the Presiding Officer dismissed a claim by Respondent SM Line that bringing a claim under the Shipping Act is an “unjust or unfair device or means” under § 41102(a), holding as follows:

Count II of the proposed third-party complaint alleges a violation of § 41102(a), which prohibits a person from knowingly and willfully obtaining ocean transportation at less than the rates or charges that would otherwise apply by means of false billing, classification, weighing, measurement, “or any other unjust or unfair means.” 46 U.S.C. § 41102(a). Count II...argues...that SEA’s complaint in this case is an unjust or unfair means of obtaining ocean transportation at less than the applicable rate. ...[N]o authority has been cited for the unlikely proposition that a complaint alleging a Shipping Act violation – one found to be meritorious, as it would have to be for SEA and third-party respondents to success [sic] in their alleged “scheme” – is itself a violation of § 41102(a). Count II similarly does not satisfy the requirements of Rule 62(b)(4)[46 C.F.R. § 502.62(b)(4)].

Id. at p. 3.

As with the argument brought by Respondent SM Line in that matter, COSCO’s claim in the Counterclaim that the public filing of a Shipping Act complaint be deemed an “unjust or unfair device or means” (Counterclaim ¶¶ 71 – 73) to achieve lower ocean transportation shipping rates is unsupported, unlikely, and insufficient. For the same reasons, COSCO’s third-party complaint against Logitech under § 41102(a) must necessarily be dismissed.

More recently, claims nearly identical to COSCO’s claims here were dismissed as a matter of law in *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and OOCL (Europe) Ltd.*, FMC Dkt. No. 24-17 (Doc. No. 38)(ALJ Mar. 31, 2025), *aff’d in part and*

remanded, (Doc. No. 66)(FMC Jul. 30, 2025)(the “SEA/OOCL Matter”).⁵ OOCL’s counterclaim was predicated on the same § 41102(a) theory posited by COSCO here. The Presiding Officer issued an Order Granting Complainant’s Motion to Dismiss Respondent’s Counterclaim in the SEA/OOCL Matter, dismissing OOCL’s counterclaim with prejudice.

Concerning the allegations asserted against SEA related to the initiation of FMC proceedings against OOCL, the Commission endorsed the findings of the ALJ:

The ALJ was correct that simply pursuing a facially valid FMC case, as SEA has done here, cannot constitute an ‘unfair device’ or an effort to obtain less than applicable rates under the statute...First, pursuing such a case cannot, in and of itself, present the fraud and concealment required to constitute an ‘unjust or unfair device or means’ under the case law discussed above. *See Rana*, 2022 WL 1744905, at *8; *SeaFair*, 2024 WL 1741926, at *8-10.

Id. at 11.

In affirming the Presiding Officer’s decision, the Commission also found that the allegations of deception and concealment asserted against SEA in the OOCL counterclaim were insufficient:

As noted above, the counterclaim does include factual allegations as to the making, content, and performance of the service contracts; it describes an alleged October 2022 ‘demand’ by SEA that OOCL refund different types of late fees; it describes later interactions between the parties about such refunds; and it asserts that SEA’s demand for refunds and its pursuit of this case seeking such a remedy violates section 41102(a)...But none of that alleges a plot to lower rates by secretly harboring and later acting on erroneous views about who was responsible for the type of delays at issue.

Id. at 17-18. Further, the Commission was doubtful that even if OOCL made additional allegations concerning SEA’s alleged concealment, such would not necessarily state a viable claim:

We note that even if the counterclaim did contain the allegations OOCL makes in its brief, it is not evident that they would present the kind of fraud or concealment required to allege an ‘unfair device’ under section 41102(a). The cases on which OOCL relies all appeared to involve some type of factual deception or misrepresentation inducing a carrier to carry or release cargo...

Here, OOCL’s brief appears to be alleging that SEA had a secret plan to get

⁵ The Commission affirmed the Presiding Officer’s dismissal of OOCL’s counterclaim against SEA, albeit remanded the matter to allow OOCL “at least one chance to allege a plausible claim...” (Doc. 66 at 20).

lower rates by making a type of service contract under which it would be legally responsible for the type of delays at issue. Then, under this alleged plan, SEA would evidently cause or at least permit such delays to occur, and even pay OOCL the resulting late fees, but would later demand unjustified refunds based on the incorrect claim that OOCL was responsible for the delays. Even that scenario seems less like the kind of fact-based fraud or concealment seen in successful cases and more akin to a disagreement about legal matters, which is not sufficient to support a section 41102(a) claim.

Id. at 18-19.

The logic and reasoning of *SM Line* and *SEA/OOCL* apply with equal force in this matter, logic and reasoning which can only lead to the dismissal of COSCO's third-party complaint against Logitech.

CONCLUSION

Given the failure to plead a plausible or actionable claim under the Shipping Act, the Third-Party Complaint should be dismissed.

Accordingly, pursuant to Fed. R. Civ. P. 12(b)(6), 46 C.F.R. §§ 502.69 and 502.70, Third-Party Respondent Logitech respectfully moves for an Order:

1. Dismissing with prejudice COSCO's Third-Party Complaint in its entirety; and,
2. Granting Logitech all such other and further relief as may be just and proper.

Dated: November 14, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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